

Electronic Components Taiyo Yuden (6976)**Rating: Buy****Price Objective: ¥6,000****Small meeting for sell-side analysts: still positive on stock**

Company Note
Share price: ¥8,145 (21 May)
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We are a bit upbeat on Taiyo Yuden's small meeting for sell-side analysts on 21 May (3:00pm–4:15pm JST), where company president Katsuya Sase discussed the current state and future outlook for MLCCs and inductors used in AI servers in particular. While there were no new catalysts likely to immediately impact the stock, the event indicates that business opportunities may rise as AI servers become more advanced. We maintain our positive stance on the company.

After trading water immediately following its results announcement, the stock has been gaining momentum. We attribute this to expectations for sales growth for AI-server-related products, expectations for an improvement in pricing factors driven by a recent upturn for the supply-demand balance (including price-hike expectations), a re-rating fueled by the above expectations (a change from a simple cyclical stock to a cyclical growth stock), and a cyclical rotation for the AI trade. While the stock's valuation metrics have gone up, we think expectations for an earnings overshoot will continue for now given the favorable operating environment, and we expect the stock to continue rising for the time being. We plan to revisit our earnings forecasts and price objective after the FY3/26 results announcement and company.

1) Securing a meaningful position in the AI server space

The stock market has been concerned about whether Taiyo Yuden has been able to take enough advantage of the business opportunities for MLCCs for use in AI servers. We have also received many questions on this topic when communicating with institutional investors.

Management's views on the topic are as follows. a) Sales to the server industry (including AI servers) accounted for a solid 9% of MLCC sales in FY3/26. b) The company estimates that its share of the server-use MLCC market is about double its share (about 10%) of the overall MLCC market. Its share is even larger when looking only at high-end products within the server-use MLCC category. c) Taiyo Yuden has secured a meaningful position within the industry, alongside Murata Mfg. and Samsung Electro-Mechanics.

We believe these stock market concerns are due to differences in how each company discloses sales. Another factor is Taiyo Yuden's lack of proactive quantitative disclosures to date.

MLCCs are used in various circuit blocks in AI servers, and depending on the circuit block, the required specs differ (in terms of voltage resistance, capacitance, chip size, temperature characteristics, and DC bias characteristics). Against this backdrop, MLCC companies divide the market according to their resources and areas of expertise. Given the above, only comparing server-related sales and AI-server-related sales at each company is not enough to accurately determine market share or positioning. Murata Mfg. offers products for a wide range of applications, from high-voltage circuits for power supply units to low-voltage circuits for GPU/ASIC. In contrast, Taiyo Yuden focuses on low-voltage circuits for GPU/ASIC partly given the differences in the scale of their businesses. For only its focus areas, we believe the company has secured a meaningful position within the industry.

(See page 2 for more on this.)

2) Potential for relative advantage to improve as AI servers become more advanced

The more advanced AI servers become, the more demanding the required specs for MLCCs and inductors become. For low-voltage circuits for GPU/ASICs, an application that Taiyo Yuden is focused on, there is demand for smaller MLCCs with more capacitance due to space constraints. To achieve this, the company needs to coordinate and improve its overall tech from ceramic materials to the production process. Taiyo Yuden does its own ceramic material development and manufacturing, which we think gives it a competitive edge. The company apparently expects to gain market share for next-gen MLCCs, which seem set to be adopted in earnest from 2H 2026 (e.g., capacitance of 47 μ F for a 1005-sized MLCC and 100 μ F for a 1608-sized MLCC).

For inductors, there is demand for better specs for core materials as the current increases for GPU/ASIC power supply circuits. There are several approaches to achieving this, and many competitors use metal composites combining plastic and magnetic metal materials. In contrast, Taiyo Yuden uses magnetic metal materials with an oxide insulating coating achieved via proprietary technology (product name: MCOIL). Since it is possible to increase the density of magnetic metal materials, these materials are excellent for high-current applications and for miniaturization. We expect this feature to be leveraged in integrated voltage regulators, a next-gen tech that integrates the power supply into the packaging substrate. We expect an increase in adoption from 2H 2027 through around 2028.

3) ASIC shift a tailwind

Major GPU manufacturers are conscious of versatility and costs when designing power supply circuits, so the MLCCs and inductors they use tend to be products that are a bit mature rather than cutting-edge ones. On the other hand, in the AI ASIC space, users tend to prefer higher performance with unique designs, so many want advanced MLCCs and inductors. As noted in point two above, the need for better specs benefits Taiyo Yuden, so the ASIC shift will likely be a tailwind. Indeed, for MCOIL used for substrate integration and next-gen MLCC products mentioned in section two, ASIC users seem to be more proactive about using these products than major GPU makers.

4) Management maintains its stance on price hikes

There were no apparent changes to the pricing policy outlined at the FY3/26 results conference. Specifically, the company intends to pass on costs for items for which material prices are clearly rising. b) The price drop rate is softening due to an improvement in the supply-demand balance. c) The company will not raise prices solely due to an improvement in the supply-demand balance.

Management is maintaining the stance mentioned in section C because it does not believe the situation is tight enough to warrant a price increase, although it does expect capacity utilization to rise and the supply-demand balance to improve. The company made the following comment, “We will reconsider options if the supply demand balance shifts away from the current outlook”. This hints at the remaining possibility of price hikes.

If the supply-demand balance shifts away from the current outlook, management will reconsider its options, which hints at price hikes.

Even with no price hikes, we believe profits may improve at an accelerated clip on an improvement in the mix following a shift to new products with little competition (which effectively raises prices). Moreover, a softening of the price drop rate will likely make it easier to benefit from streamlining efforts.

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